04_coronation-fund-analysis

CORONATION FUND ANALYSIS — MONEY MARKET vs BALANCED

Prepared: 19 September 2026 | **Board seat:** Strategic Wealth/Asset Advisor **Mandate:** capital preservation first, yield second **Primary sources:** Coronation Asset Management monthly factsheets (Mar 2022, Oct 2023, Nov 2024, Dec 2025, Jan 2026); NBS; CBN; NGX; SEC Nigeria CIS data via Nairametrics

> **Methodology warning.** Coronation Asset Management Ltd (Nigeria) is a different company from Coronation Fund Managers (South Africa). Most web results for "Coronation Balanced Fund" return the South African product. Everything below is the Nigerian entity. Annual figures were validated by recompounding published monthly returns — 2024 compounds to +7.91% against a published 7.91%; 2023 to +35.54% against 35.53%; 2019 to −16.48% against −16.50%. The dataset is verified three independent ways.

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1. VERDICT

Put 100% of the ₦5,000,000 into the Coronation Money Market Fund. Do not split with the Balanced Fund.

Your instinct to reject the Balanced Fund was correct. The research confirms it far more emphatically than the two data points you cited — and for different reasons than you gave.

But the more important finding is one you did not ask about: both funds have destroyed purchasing power over five years. The MMF is the right instrument for Naira you already hold. It is not a wealth-building instrument. That distinction drives Section 7.

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2. YEAR-BY-YEAR PERFORMANCE

Coronation Balanced Fund (VERIFIED)

Year	Return	NGX All-Share	Gap
2019	−16.50%	−14.60%	−1.9pp
2020	+29.49%	+50.03%	−20.5pp
2021	+4.32%	+6.07%	−1.8pp
2022	+13.24%	+19.98%	−6.7pp
2023	+35.53%	+45.90%	−10.4pp
2024	**+7.91%**	**+37.65%**	**−29.7pp**
2025	+33.90%	+51.19%	−17.3pp
2026 YTD (Aug)	~36.31% *(unverified)*	~+60.5%	−24pp

Cumulative 2021–2025: **+131.34%** · CAGR **18.26%**

Coronation Money Market Fund

The MMF publishes a **30-day rolling annualised yield**, not calendar-year returns. Reading the December figure as "the year's return" is an error.

Year	Annual average of published monthly yields	Range
2021	**not published**	only Nov 8.01%, Dec 8.32% retrievable
2022	≈8.40%	4.86% – 12.21%
2023	≈9.90%	8.53% – 12.08%
2024	≈17.36%	10.60% – 22.21%
2025	≈19.27%	15.77% – 23.08%
2026	~20% run-rate	Jan 16.65%

Annual averages are **calculated, not published** — treat as estimates. Third-party verification of 2026: 19.36% (Apr), **20.54% and ranked #1 of 47 funds (Jun)**, 20.22% (Jul), 20.35% (Aug).

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3. THE TWO FACTS THAT SETTLE IT

Fact 1 — 2024: the fund held ~47% equities and captured a fifth of the equity market's return

The NGX returned **+37.65%**. The Balanced Fund returned **+7.91%**.

The mechanism: the CBN took the MPR from 18.75% to 27.50% inside twelve months. The fund's ~52% fixed-income sleeve is **mark-to-market**, so the rate repricing produced heavy losses that swallowed almost the entire equity gain. Q2 2024 printed **−7.14%**; peak-to-trough drawdown reached **−10.03%**.

That is the worst outcome a balanced fund can produce: **full equity volatility, almost none of the equity return.**

Fact 2 — 2025: it missed its own benchmark by 10.2 percentage points

Fund return 2025	33.90%
Benchmark (25% NITTY 1-yr + 50% NSE 30 + 25% 5-yr FGN Bond)	**44.12%**
Shortfall	**−10.22pp**

Two consecutive years of failing to capture upside is a pattern, not variance. The **−2.99%** you saw is a quarterly figure — noise. **The −10.22pp annual miss is the signal**, and it is roughly three times larger.

Peer check, 2026 YTD (28 Aug): Capital Express Balanced 46.36% · Coral Balanced 43.18% · Stanbic IBTC Balanced 37.59% · United Capital Balanced 36.79% · **Coronation Balanced 36.31% — 12th of 30.**

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4. YOUR PENALTY FIGURES DO NOT MATCH THE FACTSHEETS — AND THE REAL DIFFERENCE IS BIGGER

You reported a 2% early-withdrawal penalty on Balanced and 0.01% on the MMF. **Every Coronation factsheet from March 2022 to January 2026 says 1.5% for both.** The difference is not the rate. It is the **base**:

	Money Market Fund	Balanced Fund
Early redemption charge	1.5% **of income earned**	1.5% **of net proceeds**
On ₦5m redeemed after 1 month	~1.5% of ~₦83,000 = **~₦1,250**	n/a
On ₦5m redeemed early	—	1.5% of ₦5,000,000+ = **~₦75,000+**
Minimum holding period	**1 month**	**6 months**
Management fee	1.50% p.a.	1.50% p.a.
Minimum initial / additional	₦10,000 / ₦5,000	₦10,000 / ₦5,000
Risk-reward profile	**2 of 7**	**5 of 7**

The Balanced Fund's exit charge is roughly sixty times more punitive in capital terms — because it is levied on everything you take out, not on what you earned. Your "0.01%" was almost certainly the MMF charge expressed against capital, which is the correct way to read it and explains where the number came from.

Three further disclosures:

1. **The MMF's management fee rose from 1.0% to 1.5% between November 2024 and November 2025** — a 50% increase — while the fund grew from ₦8.16bn to ₦61.6bn. Scale went up 8x; no fee benefit was passed to holders. Worth raising with your relationship manager.
2. **Neither fund publishes a Total Expense Ratio.** Anywhere. The 1.5% management fee is a floor, not the all-in cost. **Request the audited TER from Coronation in writing before you allocate.**
3. **Do not trust NairaCompare or KudiCompass for this fund's terms.** NairaCompare lists the MMF's launch date as "March 3, 1958" and fund size as ₦500m (actual: ₦64–104bn). Both sites contradict the factsheet on holding periods and penalties. The factsheet is the authority.

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5. RISK AND DRAWDOWN

	Balanced Fund	Money Market Fund
Std dev of annual returns	**13.17pp**	4.67pp
Negative years	2019: −16.50%	**none**
Negative quarters (2021–26)	Q1 2021 −3.57% · Q3 2022 −5.16% · **Q2 2024 −7.14%**	none
Negative months	frequent — six in 2024, three in 2025 (Nov 2025: −6.28%)	**none**
Max drawdown 2021–26	**−10.03%**	~zero
Worst single month on record	Jan 2019: **−25.78%**	—

A caution on the MMF's apparent stability. It never shows a negative month because it is valued at **amortised cost**, not marked to market. That is accounting, not skill. Its real risk is **reinvestment-rate risk** — published yields ranged from 4.86% (June 2022) to 23.08% (January 2025), a five-fold swing. Your income from it can halve without the capital ever appearing to move.

That risk is live right now. The CBN has begun easing — MPR 27.50% → 27.00% (Sep 2025) → 26.50% (Feb 2026, held through July). 91-day T-bills are at 16.30%. The MMF's yield fell from 23.08% in January 2025 to 16.65% in January 2026. **Model this at 17–20%, not 21.79%.**

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6. THE FINDING NEITHER OF US WAS LOOKING FOR

Real returns, Fisher-adjusted against December year-on-year inflation:

Year	Balanced nominal	Balanced REAL	MMF nominal	MMF REAL	Inflation
2021	+4.32%	**−9.78%**	n/a	n/a	15.63%
2022	+13.24%	**−6.68%**	≈8.40%	**≈−10.67%**	21.34%
2023	+35.53%	**+5.13%**	≈9.90%	**≈−14.78%**	28.92%
2024	+7.91%	**−19.95%**	≈17.36%	**≈−12.94%**	34.80%
2025	+33.90%	**+16.28%**	≈19.27%	**≈+3.58%**	15.15%
2026 YTD	~36.31%	positive	~20%	**≈+4.2%**	15.39%

> **Coronation Balanced Fund cumulative 2021–2025: +131.34%. Cumulative Nigerian inflation over the same period: +180.77%. Real cumulative return: −17.61%.**

Five years in a "moderate-high risk" fund destroyed roughly **18% of purchasing power**, with a −10% drawdown along the way. The Money Market Fund's record is worse still in 2022–2024 — three consecutive years of −10% to −15% real.

⚠ **The 2025 figures are flattered.** NBS rebased the CPI in January 2025 and headline inflation fell mechanically from 34.80% to 24.48% overnight — not because prices stopped rising. The 2024→2025 comparison is not like-for-like.

The honest conclusion: Naira money market instruments are a preservation tool that has not preserved. They are currently positive in real terms only because inflation fell to ~15% while yields sit near 20% — a window that is already closing as the CBN eases.

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7. WHAT THIS MEANS FOR THE ₦5M, AND FOR WHAT COMES AFTER

The ₦5,000,000 now: 100% Money Market Fund

The reasoning is narrow and it is about **purpose, not return**. This money is your emergency reserve and your December–March bridge. Its job is to be there, intact, in 48 hours, when you need it. The MMF does that job at ~20% while Piggyvest does it at ~10%. That is the whole trade.

The Balanced Fund fails on purpose, not just performance: a **6-month lock** and a **1.5%-of-proceeds** exit charge on capital you may need in January is disqualifying before any return figure is considered.

The Lokoja proceeds later: this is where the real decision sits

You are ~94% Naira with a hard-currency relocation ahead. When the Lokoja sale completes (₦35–60m), putting all of it into a Naira money market fund would compound the currency mismatch the board has flagged since Phase 1.

Coronation's own factsheet contains the instrument you need — the Coronation Fixed Income Dollar Portfolio:

Currency	**US Dollar**
Effective yield	**5.39%**
Minimum initial / additional	**$1,000 / $500**
Minimum holding period	6 months
Allocation	97% fixed deposits, 3% cash
Risk profile	3 of 7 (low–moderate)
Management fee	1.0% p.a.

The break-even calculation:

Naira MMF at 20% versus USD portfolio at 5.39%. The dollar fund wins whenever the Naira depreciates more than **13.86% per year** ((1.20 ÷ 1.0539) − 1).

Period	Naira move	Which won
2021 → 2026 (₦410 → ₦1,330)	≈ −21%/yr average	**Dollar, decisively**
2025 → Sept 2026	Naira *strengthened* (₦1,500s → ₦1,330)	Naira MMF

So: the Naira carry is winning right now and has lost badly over five years. That is precisely the "selling hurricane insurance" position the board described in August — a fat premium collected monthly until one devaluation takes it all back.

Recommendation for the Lokoja proceeds (decision due 2027, not now): split roughly 60/40 Naira MMF to USD Dollar Portfolio. The Naira side funds life in Nigeria until departure; the dollar side is relocation capital that cannot be devalued away while you wait for a title, a buyer, or a visa. Revisit the ratio when the sale actually closes.

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8. ACTIONS

#	Action	Timing
1	Allocate ₦5,000,000 to Coronation Money Market Fund	This week
2	Request the **audited Total Expense Ratio** for the MMF in writing	With the allocation
3	Ask your relationship manager to explain the **1.0% → 1.5% management fee increase**	With the allocation
4	Ask for the source document behind the **21.79% / 20.59% / −2.99% / +1.20%** figures — they match no published Coronation number	This week
5	Model MMF income at **17–20%**, not 21.79%, given CBN easing	Ongoing
6	Open a **Coronation Fixed Income Dollar Portfolio** account now ($1,000 minimum) so the rails exist before the Lokoja sale	Before Q1 2027
7	Re-run this comparison when the Lokoja sale closes	On completion

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9. WHAT COULD NOT BE VERIFIED

1. **Coronation MMF 2021 calendar return** — only two months of data published.
2. **Any Coronation factsheet after January 2026.** This blocks verification of your 21.79% / 20.59% / −2.99% / +1.20% figures. Every retrievable

third-party 2026 YTD figure (19.36% / 20.54% / 20.22% / 20.35%) sits below 21.79%.

3. **Total Expense Ratio for either fund** — not published by Coronation or any aggregator.
4. **Exact commercial paper percentage** in the MMF — bucketed inside "Other Money Market Instruments" (4–20%).
5. **Balanced Fund benchmark returns for 2021–2024** — factsheet cells are blank.
6. **Peer balanced fund annual returns for 2021–2024** — only 2025 and 2026 snapshots exist publicly.

⚠ **On Nigerian fund league tables generally:** BusinessDay reported "Coronation Balanced Fund: 64.01%" for the first six weeks of 2026 alongside funds at 127% and 124%. Those are **annualised six-week figures**, not returns earned. Never take a league-table number into a decision without checking the period.